IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH

CP(CAA)NO. 12 /ALD / 2021

Connected with

CA(CAA) NO. 08 /ALD / 2021

In the matter of

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF

SCHEME OF AMALGAMATION OF

1. KUMAON SEEDS LIMITED, a Company incorporated under the Companies Act, 1956, having its Registered Office at Station Road, Opposite Radhey Shyam Building, Kashipur Udham Singh Nagar – 244 713, Uttarakhand, having Corporate Identification Number U01111UR1995PLC017665 within the jurisdiction of this Tribunal.

Transferor Company No. 1

AND

2. LAXMI ESTATE DEVELOPERS PRIVATE LIMITED, a Company incorporated under the Companies Act, 1956, having its Registered Office at Station Road, Opposite Radhey Shyam Building, Kashipur Udham Singh Nagar – 244 713, Uttarakhand, having Corporate Identification Number U45201UR1992PTC014514 within the jurisdiction of this Tribunal.

Transferor Company No. 2

AND

3. NAINI STOCK-INVEST PRIVATE LIMITED, a Company incorporated under the Companies Act, 1956 having its Registered Office at Station Road, Opposite Radhey Shyam Building, Kashipur Udham Singh Nagar – 244 713, Uttarakhand having Corporate Identification Number U74899UR1995PTC009914 within the jurisdiction of this Tribunal.

Transferor Company No. 3

AND

4. KUMAON STOCK HOLDINGS PRIVATE LIMITED, a Company incorporated under the Companies Act, 1956, having its Registered Office at Station Road, Opposite Radhey Shyam Building, Kashipur Udham Singh Nagar – 244 713, Uttarakhand having Corporate Identification Number U65991UR1996PLC020627 within the jurisdiction of this Tribunal.

Transferor Company No. 4

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5. NAINI CAPITAL PRIVATE LIMITED, a Company incorporated under the Companies Act, 1956 having its Registered Office at Station Road, Opposite Radhey Shyam Building, Kashipur Udham Singh Nagar – 244 713, Uttarakhand having Corporate Identification Number U67120UR1986PLC007803 within the jurisdiction of this Tribunal.

Transferee Company

Order reserved on: 29.11.2021
Order pronounced on :06.12.2021

Coram:

Shri Rajasekhar V. K. : Member (Judicial)

Shri Virendra Kumar Gupta : Member (Technical)

Counsel on Record for the petitioners:
Mr.Vinay Shukla and Mr. Ankit Kumar Singh, Advs

ORDER

Per: Virendra Kumar Gupta, Member (Technical)

1. The Present Joint Company Petition is filed by Transferor Companies and Transferee Company under Sections 230 and 232 and other applicable provisions of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, for sanction of Scheme of Amalgamation of Kumaon Seeds Private Limited (Transferor Company No. 1), Laxmi Estate Developers Private Limited (Transferor Company No. 2), Naini Stock-Invest Private Limited (Transferor Company No. 3), Kumaon Stock Holdings Private Limited (Transferor Company No. 4) and Naini Capital Limited (Transferee Company) and their respective Shareholders and Creditors **(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")**.

2. The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Transferor Companies and the Transferee Company in their respective Board meetings held on 11th November, 2020.

3. The factual position of the Authorized, Issued, Subscribed and Paid up share Capital of the Transferor Companies and Transferee Company as on 31st March 2021 is described in the present Company Petition.

4. The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:
   (a) Achieving organization effectiveness, optimisation of resources utilization, overall cost reduction and better management, greater integration and better

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financial strength, streamlining the group structure and rationalization, developing stronger base for the future growth.

(b) The Transferor and Transferee Companies are sister concerns Companies and have common control, common management, common place of business and common group administration.

(c) The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The consolidated Company with far enlarged asset base, higher profitability and net worth will be better placed to access low cost fund for its expansion and diversification requirements.

(d) The amalgamation will result in simplification and rationalization of the holding structure and reduction in corporate legal entities.

5. The Transferor Companies and Transferee Company have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013, as certified by the Auditors of the Transferor Companies and Transferee Company.

6. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956, or under Sections 210 to 226 of the Companies Act, 2013, are pending against any of the Transferor Companies and Transferee Company.

7. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Transferor Companies and Transferee Company and the Petition is made *bona-fide* and is in the interest of all the companies and their respective Shareholders and Creditors as a whole and is just and equitable.

8. It has been stated that the Transferor Companies and Transferee Company are sister concerns with same management and shareholders.

9. It is also submitted that the Board of Directors of the Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and Transferee Company have determined the share exchange ratio as under respectively:
The Transferee Company will issue 3(Three) Equity Share of Rs. 10 each, credited as fully paid up, for every 2(two) Equity Share of Rs. 10 of the Transferor Company 1.

The Transferee Company will issue 100 (Hundred) Equity Share of Rs. 10 each, credited as fully paid up, for every 6(Six) Equity Share of Rs. 100 each of the Transferor Company 2.

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The Transferee Company will issue 15 (Fifteen) Equity Share of Rs. 10 each, credited as fully paid up, for every 4(Four) Equity Share of Rs. 10 each of the Transferor Company 3.

The Transferee Company will issue 2 (Two) Equity Share of Rs. 10 each, credited as fully paid up, for every 1(One) Equity Share of Rs. 10 each held in the Transferor Company 4.

10. The Transferor Companies and Transferee Company have also annexed the valuation and share exchange ratio report dated **16 December, 2020,** given by Mr. Kailash Chand Gupta, IBBI Registered Valuer having registration no. IBBI/RV/06/2020/13606 for valuation of shares, securities and other financial Assets for determination of share exchange ratio.

11. A perusal of the present Petition discloses that initially the Transferor Companies and Transferee Company had filed Company Application CA (CAA) No. 8 / ALD / 2021 seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders, and Creditors of the Transferor Companies and Transferee Company. Accordingly, this Tribunal *vide* its Order dated 02nd July, 2021, have dispensed with the requirement of convening meetings of Equity Shareholders, and all the Creditors of the Transferor Companies and the Transferee Company.

12. This Tribunal *vide* its Order dated 13th August 2021 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in respect thereof in English Newspaper 'Times of India' and Hindi Newspaper 'Hindustan' widely circulation in Uttarakhand, Dehradun where registered office of Transferor Companies and Transferee Company is situated.

13. In compliance thereof, the Transferor Companies and Transferee Company on 31st August 2021 have filed Affidavit of service and publication, confirming that notices have been duly published in English Newspaper 'Times of India' and Hindi Newspaper 'Hindustan' widely circulation in Uttarakhand, Dehradun and served upon (a) the Central Government through the office of the Regional Director, (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttarakhand, Dehradun; (c) the Official Liquidator, High Court, Allahabad; (d) the Income-Tax Departments having jurisdiction over the Transferor Companies and Transferee Company.

14. In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, has filed its report by way of affidavit dated 22nd September 2021, along with report of Registrar of Companies, Uttarakhand, Dehradun.

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The Regional Director, Northern Region, in Para 5 of his report has mentioned that the Appointed Date of proposed scheme of amalgamation as 01.04.2020 and as per Clause 6.5 of Scheme of amalgamation provides protection of the interest of the employees and employee benefits. The Ld. Regional Director, in his report, has made no major observation.

15. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Uttarakhand, Dehradun has also submitted its report through a representation / affidavit, wherein it has stated that the affairs of the Transferor Companies and Transferee Company have not been conducted in a manner prejudicial to the interest of their members or to public interest and that it has no objection to the dissolution of Transferor Companies without winding up pursuant to provisions of Sections 230 and 232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

16. The Income-Tax Department has not filed any representation within 30 days of service of the notice of the Petition. Hence, pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, it is presumed that the Income-Tax Department has no objection on the Scheme of Amalgamation of the Transferor Companies and Transferee Company.

17. We have gone through the reports of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, and Official Liquidator, and after pursuing the same we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

18. In addition to above, all the statutory compliance seems to have been complied with by Transferor Companies and Transferee Company, therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

19. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned. The Transferor Companies and Transferee Company are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, and Creditors of Transferor Companies and Transferee Company with effect from the Appointed Date i.e. 1st day of April, 2020.

20. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is

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applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law. Also, Transferor Company No. 1, Transferor Company No. 2, Transferor Company No. 3 and Transferor Company No. 4 shall stand dissolved without undergoing the process of winding up.

21. The Petitioner Companies shall within thirty(30) days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Uttarakhand, Dehradun for registration.

22. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

23. Leave is granted to the Petitioners to file the Schedule of Assets.

24. Urgent certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities

25. Accordingly, the present Company Petition bearing CP(CAA) No. 12 / ALD / 2021 is allowed and stands disposed of.

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Virendra Kumar Gupta
Member (Technical)

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Rajasekhar V.K.
Member (Judicial)

Swati Gupta
(LRA)